

defendant's conduct. (*Service of Medallion, Inc. v. Clorox Co.* (1996) 44 Cal.App.4th 1807, 1818; *Stansfield v. Starkey* (1990) 220 Cal.App.3d 59, 73.)

Notably, an exception to the general rule exists when it appears the facts lie more within the defendant's knowledge than the plaintiff's, i.e., less specificity is required where "defendant must necessarily possess full information concerning the facts of the controversy." (*Committee on Children's Television, Inc. v. General Foods Corp.* (1983) 35 Cal.3d 197, 216, *superseded by statute, on other grounds; see also Miles v. Deutsche Bank Nat'l Trust Co.* (2015) 236 Cal.App.4th 394, 403-404 [finding omission of names of mortgage servicer employees and their authority to speak not fatal to fraud claim where defendants had more knowledge of the facts than did plaintiffs]; *Tenet Healthsystem Desert, Inc. v. Blue Cross of Calif.* (2016) 245 Cal.App.4th 821, 840 [holding complaint need not specify information uniquely within defendants' knowledge, such as who prepared documents in question].)

Here, the Complaint alleges Defendant TMS concealed specific material facts, including that the battery system had one or more defects and that as a result of the defective battery, vehicles experienced overheating, loss of propulsion power while driving, sudden and premature battery failure, failure to start, reduced range, thermal runaway, and/or spontaneous combustion and/or fire. (FAC ¶ 65.) The Complaint need not allege the identity of the specific facts establishing pre-sale knowledge or concealment conduct, as Defendant TMS is in a better position to know that information.

Duty to Disclose

Defendant TMS contends the Complaint does not allege facts supporting a duty by TMS to disclose because the Complaint does not allege sufficiently specific facts plausibly establishing that TMS had pre-sale knowledge of the alleged battery defect.

"A duty to speak may arise in four ways: it may be directly imposed by statute or other prescriptive law; it may be voluntarily assumed by contractual undertaking; it may arise as an incident of a relationship between the defendant and the plaintiff; and it may arise as a result of other conduct by the defendant that makes it wrongful for him to remain silent." (*SCC Acquisitions, Inc. v. Central Pac. Bank* (2012) 207 Cal.App.4th 859, 860.) Under California law, "[t]here are "four circumstances in which nondisclosure or concealment may constitute actionable fraud: (1) when the defendant is in a fiduciary relationship with the plaintiff; (2) when the defendant had exclusive knowledge of

		material facts not known to the plaintiff; (3) when the defendant actively conceals a material fact from the plaintiff; and (4) when the defendant makes partial representations but also suppresses some material facts. [Citation.]” (<i>LiMandri v. Judkins</i> (1997) 52 Cal.App.4th 326, 336.) The court in <i>Dhital v. Nissan North America</i> considered this principle in the context of consumers purchasing a manufacturer’s vehicle and held the plaintiff consumer need not allege a transaction with the manufacturer to allege a duty to disclose. Specifically, the <i>Dhital</i> court concluded allegations that the plaintiffs bought a vehicle from a Nissan dealership that was backed by an express warranty from Nissan, and that Nissan’s authorized dealerships are its agents for purposes of the sale of Nissan vehicles to consumers, was sufficient at the demurrer stage to support a duty to disclose. (<i>Dhital v. Nissan North America, Inc.</i> (2022) 84 Cal.App.5th 828, 844, <i>petition for review granted</i> (2023) 523 P.3d 392 and dismissed and remanded, 559 P.3d 1083, 2024 WL5162583 (Dec. 18, 2024).)¹ Moreover, where a manufacturer partners with the seller by offering an express warranty as part of the sales package, that manufacturer steps into the role of a retailer. (<i>See e.g., Kiluk v. Mercedes-Benz USA, LLC</i> (2019) 43 Cal.App.5th 334, 337, 343 [manufacturer stepped into the role of the distributor and retail seller by issuing an express warranty in sale of used vehicle].) The Complaint here alleges sufficient facts from which the court may reasonably construe the warranty contract was executed as part of the sales package for the purchase of a new vehicle manufactured by Defendant TMS. (<i>See</i> Compl. ¶ 7, Ex. A.) The Complaint alleges facts supporting Defendant TMS’s exclusive knowledge of the alleged Battery Defect, including that Defendant TMS was aware that the vehicle was equipped with a defective battery and actively concealed these material defects from the public. (Compl. ¶¶ 63-72.) Defendant was in a superior position from various internal sources to know of the facts surrounding the material defects. (Compl. ¶ 69(b).) These allegations are sufficient to establish a duty to disclose.
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¹ Neither the order granting review nor dismissing the review affects the publication status of the *Dhital* opinion. (*See* Cal. Rules Ct., Rule 8.1115(e)(2) [providing that unless otherwise ordered by the Supreme Court, a published opinion by the appellate court on review by the Supreme Court remains citable and has binding or precedential effect, except to the extent it is inconsistent with the decision of the Supreme Court or disapproved by that court], Rule 8.528(b)(3) [providing a Cal. Supreme Court order “dismissing review does not affect the publication status of the Court of Appeal opinion unless the Supreme Court orders otherwise”].)